

INDIAN ECONOMY

LEVEL
II



LECTURES

AN OVERVIEW ABOUT THE
SUGARCANE SECTOR IN INDIA

MODULE - 63



IMPORTANT ASPECTS ABOUT SUGARCANE

WHAT IS FAIR AND REMUNERATIVE PRICE (FRP)?

- It is the legal price guaranteed to the farmers and to be paid by the sugar mills.
- FRP is announced by the Centre. Above that, States give some more, which is known as State Advised Price (SAP).
- It is not linked to the market price of sugar.

HOW THE STATES COME INTO PICTURE?

- Both the Central and State Governments has the powers to fix the price of sugarcane under the Concurrent List of the Constitution.
- The advised or remunerative price fixed by the State shall be higher than the FRP in accordance with the provisions of the Sugarcane (Control) Order, 1966.



14 DAYS IS THE TIME PERIOD

Under the Sugarcane (Control) Order, 1966, sugar mills are required to make cane price payment to farmers within 14 days of supply of the cane, otherwise interest is to be paid at the rate of 15% a year.



HOW THE FRP IS ARRIVED AT?



WHAT IS BASIC RECOVERY RATE?

It pertains to the quantum of recovery of sugar from sugarcane. For example, if the FRP is Rs. 285 per quintal with basic recovery rate of 10%, the meaning is, if the mill crushes one tonne of the cane and recovers 100 kilograms of sugar, it will pay the farmers Rs. 285 per quintal for the sugarcane.

- Before fixing Fair and Remunerative Price for the sugarcane, Centre not only takes the recommendations of CACP into consideration but also consults State Governments and Associations of sugar industry.
- Several other factors like cost of production, returns to the growers, availability of sugar, price at which sugar is produced from sugarcane - are all considered while fixing the FRP.

Our domestic demand hovers around 25-26 million tonnes and in recent years, we are producing much more than that!



SUGAR AND SUGARCANE ... IMPORTANT ASPECTS

6 Majority of the sugar producing units in Maharashtra are in cooperative sector and UP has more private mills.

5 The share of Uttar Pradesh, in recent years, increased primarily because of the planting of new variety Co 0238, which has higher yield and better recovery rate. Now almost 80% in UP is covered by Co 0238.

4 The price of ethanol from sugarcane juice, sugar and sugar syrup has been set higher in comparison to B-heavy molasses and C-heavy molasses.

WATER
GUZZLING
CROP LIKE
RICE!



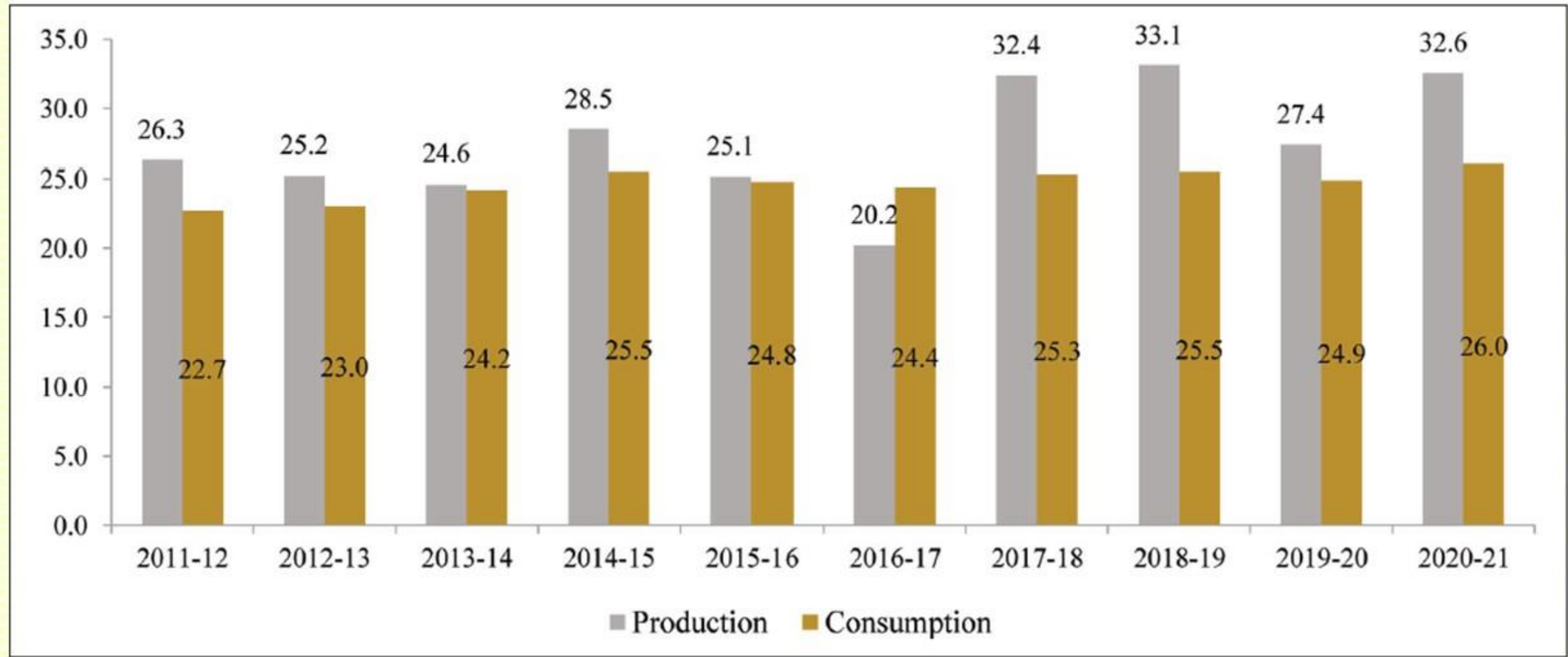
1 Power and fertiliser subsidies together account for about 10-15 per cent of the value of rice and sugar produced on per hectare basis.

2 One kg of rice requires 3,500-5,000 litres of water and one kg of sugar consumes about 2,000 litres of water.

3 The Government took the decision of allowing direct production of ethanol from sugarcane juice in July 2018, because of surplus sugar stocks and subsequent fall in sugar prices.

In Brazil, only around 35% sugarcane is used for sugar production.

Figure 10: Production and Consumption Levels of Sugar (Million Tonnes)

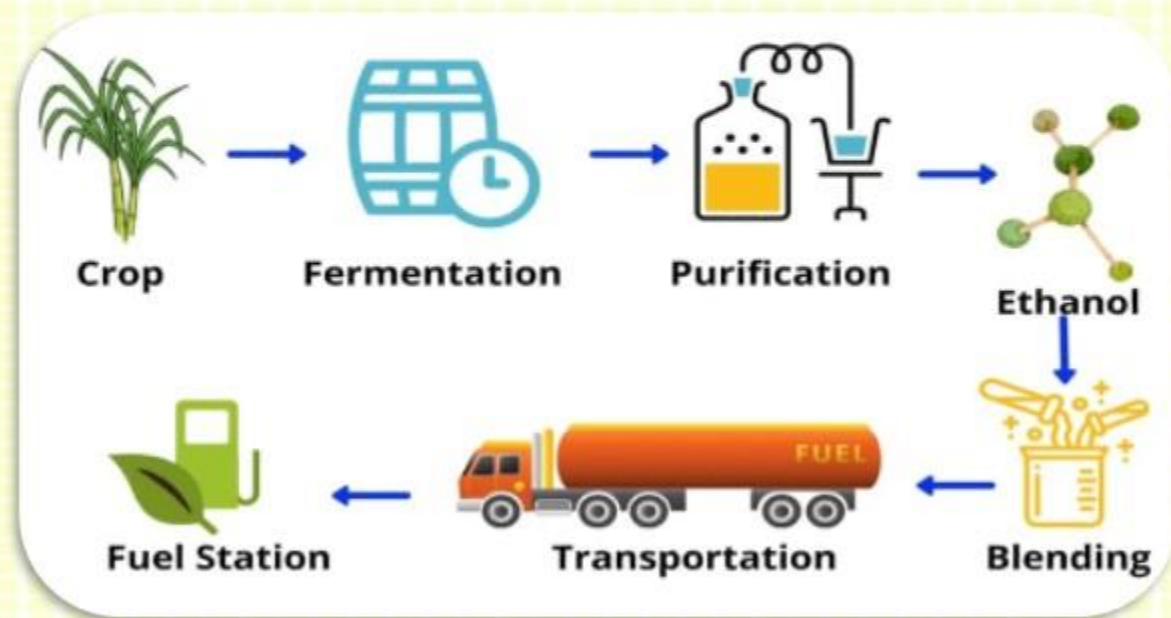


Source: Based on data of CACP Report on Sugarcane.

MASSIVE THRUST ON ETHANOL BLENDED PETROL (EBP) PROGRAM

- Government has set ethanol blending target for mixing ethanol with petrol at 20% to be achieved by 2025.
- India achieved the blending target of 10% in June, 2022.
- With a view to achieve 10% target by 2022, Government has allowed production of ethanol from different feedstocks viz
 - ✓ B heavy molasses,
 - ✓ C heavy molasses,
 - ✓ Cane juice,
 - ✓ Sugar syrup,
 - ✓ Sugar and damaged food grains including surplus FCI rice, maize etc. by the distilleries either attached with the sugar mills or standalone.

- Financial assistance in the form of interest subvention are also provided to eligible distilleries for augmentation of ethanol production capacity in the country.



FARMERS ARE WELL PROTECTED ... BUT, THE POLICY HAS SEVERAL STRUCTURAL FAULT LINES!



- The interest of the farmers is protected by Fair and Remunerative Price (FRP), which has doubled in a span of around ten years.
- Some state governments also announced State Advised Price (SAP) at levels higher than FRP.
- Sugar mills that buy sugarcane are mandated to purchase crop from farmers within a specified radius known as the Cane Reservation Area. Sugarcane farmers this way are insured and protected against price risk.
- However, the Centre had to incentivise the sugar mills to divert excess sugarcane/sugar to ethanol production.
- Similarly, during several years, financial assistance has also been given to sugar mills to facilitate export of sugar.



HENCE, ALL IS NOT WELL WITH THE SUGARCANE SECTOR!

- During many years, the cost of production is higher than the market price of sugar. So mills, by paying FRP, are incurring losses.
- The arrears are mounting from time to time, running into thousands of crores of rupees. The Government support, most of the times comes late.
- During the past 10 years, FRP is more than doubled - increase from Rs. 130 to Rs. 285 per quintal. It is not linked to the price of sugar.
- It is water-guzzling and leads to skewed water usage.

AD-HOC SUGGESTIONS BY CACP COULD NOT ADDRESS THE ROOT CAUSE!



- To help mills cope up with the times, when they have to pay FRP to the farmers, despite lower market prices for sugar, CACP suggested a Sugar Price Stabilization Fund under the Sugar Development Fund (SDF). SDF gets its money from the cess levied on sugar.
- The Sugar Cess Act, 1982 enabled the Centre to collect cess for the purpose of Sugar Development Fund.
- In 2016, the ceiling on the amount of cess was increased from Rs. 25 to Rs. 200 per quintal to help the Government meet expenses on interest subvention based soft loans, export incentives, production assistance and liquidation of arrears of cane dues.

C. RANGARAJAN COMMITTEE SUGGESTED STRUCTURAL CHANGES ... BUT NOT IMPLEMENTED!

- C. Rangarajan Committee suggested a revenue sharing formula.
- The farmers and mills have to share revenue from the sugar in the ratio of 75:25, if the value of sugar alone is considered without byproducts.
- If the byproducts like molasses, bagasse and press mud is considered, then 70% revenue generated will go to the farmers.



WHAT NEEDS TO BE DONE?

- Move away from artificial and mandatory prices.
- Allow cane prices to respond to market forces. Link sugarcane price to the cost of sugar in the market.
- Revenue sharing, say 70%-75%, can be one option.
- Remove the condition to sell to a particular mill and farmers should have freedom in selling their sugarcane.



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SINCERE THANKS
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